City of Falls City, Nebraska

STATEMENT OF NET POSITION

September 30, 2025

	Governmental Activities (Note A)	Business-type Activities (Note A)	Total	Discreetly Presented Component Unit
ASSETS				
Cash and cash equivalents (notes A and B)	$ 1,606,636	$ 14,744,624	$ 16,351,260	$ 13,900
Restricted cash (note H)	389,836	15,035,357	15,425,193	-
Certificates of deposit (note A)	25,329	-	25,329	-
Accounts receivable (note A)	336,707	1,771,492	2,108,199	-
Inventory (note A)	37,539	1,838,829	1,876,368	-
Capital assets (notes A and D)	9,810,031	38,615,790	48,425,821	-
Total assets	$ 12,206,078	$ 72,006,092	$ 84,212,170	$ 13,900
LIABILITIES				
Accounts payable	73,182	462,364	535,546	-
Accrued interest	11,056	131,186	142,242	-
Salaries & benefits payable	564,707	369,563	934,270	-
Customer deposit	4,100	171,325	175,425	-
Current maturities on long-term obligations	404,661	1,053,057	1,457,718	-
Long-term obligations (note E)	775,014	14,553,170	15,328,184	-
Total liabilities	$ 1,832,720	$ 16,740,665	$ 18,573,385	$ -
NET POSITION (note A)				
Net investment in capital assets	8,630,356	23,009,563	31,639,919	-
Restricted (note I)	385,736	14,864,032	15,249,768	-
Unrestricted	1,357,266	17,391,832	18,749,098	13,900
Total net position	$ 10,373,358	$ 55,265,427	$ 65,638,785	$ 13,900

See accompanying notes to financial statements.

City of Falls City, Nebraska

STATEMENT OF ACTIVITIES

September 30, 2025

Functions/Programs	Expenses	Program Receipts: Charges for Services	Program Receipts: Operating Grants and Contributions	Program Receipts: Capital Grants and Contributions	Net Receipts (Disbursements) and Changes in Net Position: Governmental Activities (Note A)	Net Receipts (Disbursements) and Changes in Net Position: Business-type Activities (Note A)	Net Receipts (Disbursements) and Changes in Net Position: Total	Component Unit
Governmental activities								
General government	$ 2,119,122	$ 117,163	$ 50	$ -	$ (2,001,909)	$ -	$ (2,001,909)	
Public safety	1,994,764	7,059	100,563	-	(1,887,142)	-	(1,887,142)	
Public works	1,372,928	56,076	9,124	-	(1,307,728)	-	(1,307,728)	
Culture and recreation	1,372,640	129,945	44,661	-	(1,198,034)	-	(1,198,034)	
Cemetery	151,287	28,410	50	-	(122,827)	-	(122,827)	
Airport	366,515	122,195	17,676	-	(226,644)	-	(226,644)	
HUD programs	174,508	2,724	96,015	-	(75,769)	-	(75,769)	
Community development	372,232	44,426	207,440	-	(120,366)	-	(120,366)	
Interest and charges on debt	47,779	-	-	-	(47,779)	-	(47,779)	
Total governmental activities	7,971,775	507,998	475,579	-	(6,988,198)	-	(6,988,198)	
Business-type activities								
Electric	7,066,108	7,630,953	-	15,014,344	-	15,579,189	15,579,189	
Water	1,713,089	1,576,808	-	737	-	(135,544)	(135,544)	
Gas	2,817,845	3,030,438	-	12,886	-	225,479	225,479	
Sewer	1,647,689	1,195,621	-	21,514	-	(430,554)	(430,554)	
Total business-type activities	13,244,731	13,433,820	-	15,049,481		15,238,570	15,238,570	
Total activities	$ 21,216,506	$ 13,941,818	$ 475,579	$ 15,049,481	(6,988,198)	15,238,570	8,250,372	
Component unit								
Main street	$ 34,850	$ -	$ 36,051	$ -	-	-	-	$ 1,201
General receipts								
Real estate, personal property, in lieu, and motor vehicle tax					3,424,473	-	3,424,473	-
Intergovernmental					1,490,496	-	1,490,496	-
Other misc revenues					78,557	123,365	201,922	-
Transfers					(2,862)	2,862	-	-
Unrestricted investment earnings					65,781	484,357	550,138	-
Total general receipts					5,056,445	610,584	5,667,029	-
Change in net position					(1,931,753)	15,849,154	13,917,401	1,201
Beginning net position, as previously stated					12,482,962	40,160,892	52,643,854	-
Restatement (note M)					(177,851)	(744,619)	(922,470)	-
Beginning net position, as restated					12,305,111	39,416,273	51,721,384	12,699
Ending net position					$ 10,373,358	$ 55,265,427	$ 65,638,785	$ 13,900

See accompanying notes to financial statements.

City of Falls City, Nebraska

BALANCE SHEET
GOVERNMENTAL FUNDS

September 30, 2025

	General	Economic Development	HUD	Capital Improvement	Nonmajor Governmental Funds	Total Governmental Funds
ASSETS						
Cash and cash equivalents (notes A and B)	$ 953,621	$ 113,683	$ (62,419)	$ 819,629	$ 165,850	$ 1,990,364
Restricted cash (note H)	4,100	-	-	-	385,736	389,836
Certificates of deposit	25,329	-	-	-	-	25,329
Accounts receivable	336,707	-	-	-	-	336,707
Inventory	31,689	-	-	-	-	31,689
Notes receivable (note C)	-	-	-	300,000	-	300,000
Total assets	$ 1,351,446	$ 113,683	$ (62,419)	$ 1,119,629	$ 551,586	$ 3,073,925
LIABILITIES						
Accounts payable	$ 71,283	$ -	$ -	$ -	$ -	$ 71,283
Salaries & benefits payable	564,707	-	-	-	-	564,707
Customer deposit	4,100	-	-	-	-	4,100
Notes payable	300,000	-	-	-	-	300,000
Total liabilities	940,090	-	-	-	-	940,090
FUND BALANCES (note A)						
Restricted (note I)	-	-	-	-	385,736	385,736
Committed (note I)	-	-	-	300,000	165,850	465,850
Assigned (note I)	-	113,683	-	819,629	-	933,312
Nonspendable (note I)	31,689	-	-	-	-	31,689
Unassigned	379,667	-	(62,419)	-	-	317,248
Total fund balances	411,356	113,683	(62,419)	1,119,629	551,586	2,133,835
Total liabilities and fund balances	$ 1,351,446	$ 113,683	$ (62,419)	$ 1,119,629	$ 551,586	$ 3,073,925

See accompanying notes to financial statements.

City of Falls City, Nebraska

STATEMENT OF REVENUES, EXPENDITURES AND CHANGES IN FUND BALANCES GOVERNMENTAL FUNDS

September 30, 2025

	General	Economic Development	HUD	Capital Improvement	Other Governmental Funds	Total Governmental Funds
RECEIPTS						
Taxes	$ 1,903,934	$ -	$ -	$ 1,553,540	$ -	$ 3,457,474
Intergovernmental	1,685,611	-	96,015	-	-	1,781,626
Licenses and permits	87,411	-	-	-	-	87,411
Rent/leases	131,922	-	1,624	-	-	133,546
Charges for services	161,198	-	1,100	-	-	162,298
Fines and forfeits	1,200	-	-	-	-	1,200
Sale of supplies/property	3,148	-	-	-	11,700	14,848
Contributions	47,311	-	-	-	-	47,311
Miscellaneous	271,426	-	-	-	-	271,426
Total receipts	4,293,161	-	98,739	1,553,540	11,700	5,957,140
DISBURSEMENTS						
Current						
General government	96,591	-	-	-	-	96,591
Public safety	2,268,645	-	-	-	-	2,268,645
Public works	798,057	-	-	-	-	798,057
Cemetery	133,668	-	-	-	-	133,668
Airport	138,300	-	-	-	-	138,300
HUD programs	-	-	174,508	-	-	174,508
Culture and recreation	1,348,707	-	-	-	-	1,348,707
Community development	373,070	39,134	-	-	-	412,204
Debt service						
Principal	86,399	-	-	-	-	86,399
Interest	36,723	-	-	-	-	36,723
Capital outlay	1,034,299	-	-	-	-	1,034,299
Total disbursements	6,314,459	39,134	174,508	-	-	6,528,101
Excess (deficiency) of receipts over disbursements	(2,021,298)	(39,134)	(75,769)	1,553,540	11,700	(570,961)
OTHER FINANCING SOURCES (USES)						
Interest/dividends	65,781	-	-	-	-	65,781
Transfers	3,765,085	-	(11,463)	(3,808,733)	-	(55,111)
Total other financing sources (uses)	3,830,866	-	(11,463)	(3,808,733)	-	10,670
NET CHANGE IN FUND BALANCES	1,809,568	(39,134)	(87,232)	(2,255,193)	11,700	(560,291)
BEGINNING FUND BALANCE	(1,398,212)	152,817	24,813	3,374,822	539,886	2,694,126
ENDING FUND BALANCE	$ 411,356	$ 113,683	$ (62,419)	$ 1,119,629	$ 551,586	$ 2,133,835

See accompanying notes to financial statements.

City of Falls City, Nebraska

STATEMENT OF NET POSITION
BUSINESS-TYPE ACTIVITIES

September 30, 2025

	Electric	Water	Gas	Sewer	Total	Internal Service
ASSETS						
Current assets						
Cash and cash equivalents (notes A and B)	$ 661,365	$ 2,078,533	$ 8,393,456	$ 3,611,270	$ 14,744,624	$ (383,729)
Restricted cash (note H)	14,929,474	31,787	74,096	-	15,035,357	-
Accounts receivable (note A)	1,124,130	283,547	168,050	195,765	1,771,492	-
Inventory (note A)	1,553,346	172,871	112,612	-	1,838,829	5,850
Total current assets	18,268,315	2,566,738	8,748,214	3,807,035	33,390,302	(377,879)
Noncurrent assets						
Capital assets (notes A and D)	21,812,585	11,644,228	1,761,022	3,397,955	38,615,790	176
Total noncurrent assets	21,812,585	11,644,228	1,761,022	3,397,955	38,615,790	176
Total assets	$ 40,080,900	$ 14,210,966	$ 10,509,236	$ 7,204,990	$ 72,006,092	$ (377,703)
LIABILITIES						
Current liabilities						
Accounts payable	$ 305,460	$ 28,429	$ 104,522	$ 23,953	$ 462,364	$ 1,899
Accrued expenses	116,140	15,046	-	-	131,186	-
Salaries & benefits payable	104,421	66,098	183,007	16,037	369,563	-
Customer deposits	65,442	31,787	74,096		171,325	-
Current maturities on long-term obligations (note E)	700,000	312,448	-	40,609	1,053,057	-
Total current liabilities	1,291,463	453,808	361,625	80,599	2,187,495	1,899
LONG-TERM OBLIGATIONS (note E)	10,735,000	3,513,599	-	304,571	14,553,170	-
Total liabilities	12,026,463	3,967,407	361,625	385,170	16,740,665	1,899
NET POSITION (note A)						
Net investment in capital assets	10,377,585	7,818,181	1,761,022	3,052,775	23,009,563	-
Restricted (note I)	14,864,032	-	-	-	14,864,032	-
Unrestricted	2,812,820	2,425,378	8,386,589	3,767,045	17,391,832	(379,602)
Total net position	28,054,437	10,243,559	10,147,611	6,819,820	55,265,427	(379,602)
Total liabilities, deferred inflows of resources, and net position	$ 40,080,900	$ 14,210,966	$ 10,509,236	$ 7,204,990	$ 72,006,092	$ (377,703)

See accompanying notes to financial statements.

City of Falls City, Nebraska

STATEMENT OF REVENUES, EXPENSES, AND CHANGES IN NET POSITION
BUSINESS-TYPE ACTIVITIES

September 30, 2025

	Electric	Water	Gas	Sewer	Total	Internal Service
OPERATING REVENUES						
Charge for services/sales	$ 7,630,953	$ 1,576,808	$ 3,030,438	$ 1,195,621	$ 13,433,820	$ -
OPERATING EXPENSES						
General and administrative	1,359,436	719,563	749,542	940,359	3,768,900	106,317
Distribution	1,316,762	148,872	53,001	-	1,518,635	21,403
Depreciation	986,105	479,236	727,049	707,330	2,899,720	674
Production	3,001,959	316,826	1,288,253	-	4,607,038	-
Total operating expenses	6,664,262	1,664,497	2,817,845	1,647,689	12,794,293	128,394
Operating income (loss)	966,691	(87,689)	212,593	(452,068)	639,527	(128,394)
NONOPERATING REVENUE (EXPENSE)						
Interest income	474,785	2,393	4,786	2,393	484,357	-
Miscellaneous/ merchandise sales/ grants	15,075,266	22,759	47,819	27,003	15,172,847	70
Interest expense	(401,846)	(48,593)	-	-	(450,439)	-
Transfers	(7,320,299)	1,506,644	2,916,306	2,900,211	2,862	52,249
Total nonoperating revenue	7,827,906	1,483,203	2,968,911	2,929,607	15,209,627	52,319
INCREASE (DECREASE) IN NET POSITION	8,794,597	1,395,514	3,181,504	2,477,539	15,849,154	(76,075)
BEGINNING NET POSITION	20,402,166	8,848,045	6,966,107	3,944,574	40,160,892	(303,527)
ERROR CORRECTION (NOTE M)	(1,142,326)	-	-	397,707	(744,619)	-
BEGINNING NET POSTION, AS RESTATED	19,259,840	8,848,045	6,966,107	4,342,281	39,416,273	(303,527)
ENDING NET POSITION	$ 28,054,437	$ 10,243,559	$ 10,147,611	$ 6,819,820	$ 55,265,427	$ (379,602)

See accompanying notes to financial statements.

City of Falls City, Nebraska

STATEMENT OF CASH FLOWS
PROPRIETARY FUNDS

For the year ended September 30, 2025

	Enterprise Funds					Internal
	Electric	Water	Gas	Sewer	Total	Service Fund
CASH FLOWS FROM OPERATING ACTIVITIES						
Cash received from customers	$ 7,351,297	$ 1,511,022	$ 2,707,660	$ 968,708	$ 12,538,687	$ 11,576
Cash paid to employees	(4,227,490)	(622,011)	(1,650,517)	(870,824)	(7,370,842)	(127,720)
Cash paid to suppliers	(1,178,025)	(534,821)	(825,486)	(504,457)	(3,042,789)	-
Net cash provided (used) by operating activities	1,945,782	354,190	231,657	(406,573)	2,125,056	(116,144)
CASH FLOWS FROM INVESTING ACTIVITIES						
Interest received	474,785	2,393	4,786	2,393	484,357	-
CASH FLOWS FROM CAPITAL AND RELATED FINANCING ACTIVITIES						
Purchase of capital assets	(2,119,518)	(963,519)	(530,292)	(161,818)	(3,775,147)	-
Principal paid on long-term obligations	(800,000)	-	-	-	(800,000)	-
Proceeds from grants	15,075,266	22,759	47,819	27,003	15,172,847	70
Transfers	(7,320,299)	1,506,644	2,916,306	2,900,211	2,862	52,249
Interest paid on long-term obligations	-	2,862	-	-	2,862	-
Net cash provided by capital and related financing activities	4,835,449	568,746	2,433,833	2,765,396	10,603,424	52,319
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	7,256,016	925,329	2,670,276	2,361,216	13,212,837	(63,825)
CASH AND CASH EQUIVALENTS, BEGINNING OF YEAR	8,334,823	1,184,991	5,797,276	1,250,054	16,567,144	(319,904)
CASH AND CASH EQUIVALENTS, END OF YEAR	$ 15,590,839	$ 2,110,320	$ 8,467,552	$ 3,611,270	$ 29,779,981	$ (383,729)
Reconciliation of operating income (loss) to net cash provided (used) by operating activities						
Operating income (loss)	966,691	(87,689)	212,593	(452,068)	639,527	(128,394)
Adjustments to reconcile operating income (loss) to net cash provided by operating activities						
Depreciation expense	986,105	479,236	727,049	707,330	2,899,720	674
(Increase) decrease in assets						
Accounts receivable	141,170	39,118	(376)	7,359	187,271	11,576
Inventory	(203,034)	(8,881)	11,089	-	(200,826)	-
Customer deposits	(6,401)	-	-	-	(6,401)	-
Increase (decrease) in liabilities						
Accounts payable	(12,136)	(84,973)	(740,764)	(674,017)	(1,511,890)	-
Salaries and benefits payable	25,279	22,452	98,119	(8,164)	137,686	-
Customer deposits	(6,401)	`	(87,399)	-	(93,800)	-
Deferred income	-	-	11,346	15,165	26,511	-
Accrued expenses	54,509	(5,073)	-	(2,178)	47,258	-
Total adjustments to operating income (loss)	979,091	441,879	19,064	45,495	1,485,529	12,250
Net cash provided (used) by operating activities	$ 1,945,782	$ 354,190	$ 231,657	$ (406,573)	$ 2,125,056	$ (116,144)
Cash and cash equivalents	661,365	2,078,533	8,393,456	3,611,270	14,744,624	(383,729)
Restricted cash and cash equivalents	14,929,474	31,787	74,096	-	15,035,357	-
	$ 15,590,839	$ 2,110,320	$ 8,467,552	$ 3,611,270	$ 29,779,981	$ (383,729)

See accompanying notes to financial statements.

City of Falls City, Nebraska

BUDGETARY COMPARISON SCHEDULE OF RECEIPS, DISBURSEMENTS, AND CHANGES IN FUND BALANCE
BUDGET AND ACTUAL - ALL FUNDS

For the year ended September 30, 2025

	Original and Final Budget	Actual Amounts (Budgetary Basis) (See Note B)	Variance with Final Budget
BEGINNING BUDGETARY FUND BALANCE		$ 19,330,267	
RECEIPTS			
General		4,358,942	
HUD		98,739	
Capital improvement		1,553,540	
Other		11,700	
Electric		23,181,004	
Water		1,601,960	
Gas		3,083,043	
Sewer		1,225,017	
Internal service		70	
Transfers		11,140,495	
Total receipts	$22,842,992	46,254,510	$(23,411,518)
DISBURSEMENTS			
General		7,570,205	
Economic development		39,134	
HUD		174,508	
Electric		7,066,108	
Water		2,692,180	
Gas		3,259,723	
Sewer		1,666,753	
Internal service		173,889	
Transfers		11,140,495	
Total disbursements	$27,970,623	33,782,995	$(5,812,372)
NET CHANGE IN FUND BALANCE	$(5,127,631)	12,471,515	$(17,599,146)
ENDING BUDGETARY FUND BALANCE		$ 31,801,782	